

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD.,

RESPONDENT.

**SAMSUNG ELECTRONICS AMERICA, INC.'S REPLY TO RESPONDENT COSCO
SHIPPING LINES CO., LTD.'S, RESPONSE TO THE PRESIDING OFFICER'S ORDER
REQUIRING ADDITIONAL INFORMATION**

Pursuant to Your Honor’s June 30, 2026 Order, Dkt. 133 (“Order”), Complainant Samsung Electronics America, Inc. (“SEA”) respectfully submits this Reply to Respondent COSCO Shipping Lines Co., Ltd.’s (“COSCO”) Response to the Presiding Officer’s Order Requiring Additional Information, Dkt. 136 (“COSCO’s July 10 Response”).

Your Honor, undersigned counsel most humbly needs your help. Complainant SEA needs your help. The Commission, in need of a proper record, will rely on your help. COSCO’s July 10 Response, a breezy checklist of position points, has major implications. The only way to stop COSCO’s abuse of the discovery process is to issue compel orders that prevent controlled common carriers from dictating what it will and will not disclose in this proceeding. Respondent, controlled by the People’s Republic of China, is the first entity on the FMC’s controlled carrier list established to ensure it does not “unfairly use their government-supported positions” in conducting business regulated by the FMC.¹ Now, here, COSCO continues to peddle positions dictated by its own laws and expects the FMC to just accept it. This is wrong.

On the most critical issue of SEA’s motion to compel China based documents withheld from production, COSCO’s underlying justification is a reiteration that PRC law requires submission of China-based documents to government authorities for review before production. It argues that any order compelling production would trigger an indefinite review period, making relief impractical. COSCO has in prior submissions framed this as a reason SEA’s motion should be denied as “counterproductive.” Counterproductive? Counterproductive is not being able to answer Your Honor’s questions as to PRC law application back at the April 6, 2026 status conference in light of *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC*

¹ See Controlled Carrier List, Fed. Mar. Comm’n, <https://www.fmc.gov/databases-and-publications/controlled-carrier-list/> (last visited July 17, 2026).

Mediterranean Shipping Company SA (Docket No. 21-05) (2021) (the July 29, 2022 “Order Requiring Production of Discovery”), and why the foreign law issues therein did not foreclose COSCO’s foreign law arguments. COSCO could not properly articulate its position at the status conference and barely referenced the *MSC* ruling in its papers. That status conference was necessary because COSCO had not produced any China-based documents, and was not complying with the scheduling order deadlines. Even now, COSCO has never explained why PRC law allegedly barred any China-based production by the ordered deadlines, yet allowed it to produce 2,700 documents from only three custodians on April 8, 2026. SEA respectfully requests Your Honor to bear this critical context in mind when engaging in COSCO’s July 10 response.

I. Response to COSCO’s Discovery Requests Remaining Outstanding

COSCO’s response identifies three categories of “discovery issues between the parties” that it contends remain outstanding:

First, COSCO identifies the following motions to compel pending before Your Honor:

(i) SEA’s First Motion to Compel and Supplemental Motion to Compel (principally concerning China-based documents); (ii) SEA’s Second Motion to Compel (principally concerning U.S. based deficiencies), and (iii) COSCO’s motion to compel further answers to certain interrogatories. SEA concurs that the referenced motions to compel remain outstanding; however, SEA does not agree that COSCO needs, nor that it is entitled to, further responses to contention interrogatories prior to proceeding with depositions.

Second, COSCO raises a new request for additional discovery from three additional custodians. That request, made for the first time on July 9, 2026, after the instant Order was issued, is not the subject of a motion to compel currently before Your Honor. COSCO identifies no deficiency in SEA’s production that would justify additional custodians, nor does it explain why it

claims that discovery from these individuals is necessary or proportional to the needs of the case. Therefore, the new, and belated, demand for additional discovery is not appropriate.

Third, COSCO raises SEA's request for the return and destruction of privileged documents. SEA views COSCO's refusal to comply with a valid request to clawback inadvertently produced documents as irreconcilable with the plain terms of the protective order, rather than a traditional discovery issue remaining in dispute. For that reason, SEA did not identify the pending clawback dispute in its submission. Nevertheless, because COSCO has raised the issue in its submission, SEA's position is that the parties remain at an impasse. COSCO's continued refusal to return SEA's privileged and work-product protected documents rests on an incorrect legal standard. COSCO relies on waiver principles under Federal Rule of Evidence 502(b), even though the protective order in this proceeding is governed by Rule 502(d). Under Rule 502(d), waiver is not the relevant inquiry, and COSCO should therefore be ordered to comply with SEA's clawback request.

II. COSCO's Arguments as to Discovery Required Before Depositions

COSCO highlights two issues that it claims are "critical for all, or nearly all, depositions to move forward": (1) COSCO's contention interrogatories, and (2) use of inadvertently-protected privileged and work-product documents properly clawed-back by SEA pursuant to the protective order. Neither are critical, necessary, or appropriate for COSCO to proceed with depositions.

A. Further Responses to Certain Interrogatories

1. Contention Interrogatories Nos. 12, 13, 14, 17, 19, and 20

Your Honor, the logical fallacy of COSCO's position demanding container-by-container causation documents before depositions, and before COSCO completes production of documents compelled by court orders, is apparent when considering these five steps: (1) COSCO and its subcontractors issue pandemic-era invoices to SEA demanding payment of D&D charges or SEA's

cargo will not be moved; (2) COSCO's invoices contain no information whatsoever as to the cause of the D&D charges—the container-by-container causation; (3) SEA pays these invoices without this critical COSCO container-by-container causation information; (4) in FMC discovery, COSCO produces no pandemic-era contemporaneous business records, such as exported operational data or spreadsheets, that determined whether COSCO, or SEA, caused or contributed to delays resulting in D&D charges on each container; (5) instead, COSCO demands SEA prepare container-by-container causation explanations in response to interrogatories for *COSCO's decisions* to charge SEA. This is circular logic, and, if accepted, would set an outrageous precedent. COSCO essentially demands SEA tell COSCO why COSCO was right or wrong to charge SEA when COSCO did not bother to provide its own reasons at the time of the D&D charges, before COSCO fulfills its discovery obligations, and before depositions. This cannot be.

Requiring SEA to provide a container-by-container causation analysis before fact discovery closes would improperly accelerate expert-type analysis and is unwarranted at this stage of the proceeding. COSCO fails to demonstrate that the information it seeks is necessary to proceed with depositions. Rather, COSCO seeks analyses that necessarily depend on discovery that remains outstanding, including, critically, records within COSCO's possession, custody, or control.

COSCO states that the interrogatories “go to the heart of SEA's claims,”² including the causes of alleged “delays” and the principal facts supporting SEA's allegations, and contends that it seeks this information before depositions to examine SEA personnel and develop the factual record for its defense. But the interrogatories do not seek discrete factual information maintained in the ordinary course of business by SEA. Rather, the interrogatories seek detailed contention-style information concerning the specific delays for which SEA contends COSCO is responsible,

² COSCO's July 10 Response Dkt. 136 at 3.

the facts supporting SEA's allegations, alleged instances of COSCO conduct causing delay, container-release issues, and requests for explanations of charges. COSCO has not demonstrated why completion of such an undertaking is a prerequisite to the examination of fact witnesses.³

SEA submits that requiring those detailed narratives at this stage would be premature. Depositions have not begun, expert discovery has not commenced, and COSCO's own production remains incomplete. A container-by-container analysis necessarily depends heavily on records from the ocean carrier responsible for the delivery of cargo, including COSCO's invoices, shipment records, communications, and other documents within COSCO's possession, custody, or control. Significant categories of COSCO documents remain outstanding and are the subject of SEA's Motion to Compel Production of China-Based Documents, Dkt. 95 ("SEA Motion to Compel") and Second Motion to Compel Production from COSCO Shipping Lines Co., Ltd., Dkt. 112. *See* Samsung Electronics America, Inc.'s Response to the Presiding Officer's Order Requiring Additional Information., Dkt 137 ("SEA Response"). In the absence of complete production from COSCO, COSCO cannot reasonably insist that SEA complete a comprehensive shipment-by-shipment analysis based on an incomplete factual record before depositions.

SEA has produced responsive documents in the format available to SEA and has identified business records where appropriate, consistent with 46 C.F.R. § 502.145(d). SEA's position is that COSCO has not shown that additional narrative responses to these interrogatories are required as a prerequisite to depositions, rather than being addressed in the ordinary discovery course.

³ SEA previously advised this same theory, and demand, was made by HMM in *Samsung Electronics America, Inc. v. HMM Co., Ltd. f/k/a Hyundai Merchant Marine Co., Ltd.*, FMC Dkts. 24-23, 2026 WL 254021 (A.L.J Jan. 22, 2026) (Dkts. 43 & 44, order setting the discovery conference) and the Presiding Officer provided his guidance as to why the demand was inappropriate before the end of discovery, and would have no rational bearing on taking depositions. SEA's Opp. to COSCO's Motion to Compel, Dkt. 105; *see* Declaration of Kristine Little ("Little Decl."), dated Feb. 27, 2026, Exhibit A.

2. *Interrogatory Nos. 6, 9, 25 and Request for Production (“RFP”) No. 11*

Although COSCO states that Interrogatory Nos. 6, 9, and 25 and RFP No. 11 remain at issue, COSCO does not identify any specific information or documents responsive to those requests that it contends are necessary before depositions may proceed. COSCO states generally that “all the information it seeks is important for depositions,”⁴ but it does not explain what specific information or documents, if any, it actually requires to conduct any particular deposition. Nor does COSCO identify any witness, topic, or deposition that cannot move forward absent further responses or production. Accordingly, COSCO has not shown that any dispute concerning Interrogatory Nos. 6, 9, or 25 or RFP No. 11 needs to be resolved before depositions commence.

B. Clawback Documents

The parties have a continued dispute over SEA’s rolling clawback of inadvertently produced privileged documents. Despite the Protective Order’s specific invocation of FRE 502(d) and the unambiguous declaration that “the provisions of Federal Rule of Evidence 502(b) do not apply,” Protective Order ¶ 10, COSCO has repeatedly argued waiver by scrutinizing the reasonableness of SEA’s privilege review, challenging the timeliness of clawback efforts, and contending that SEA’s production in other proceedings with similar orders also constitutes waiver.

COSCO fundamentally misunderstands Rule 502(d). Federal Rule of Evidence 502(d) states: “A Federal court may order that the privilege or protection is not waived by disclosure connected with the litigation pending before the court—in which event the disclosure is also not a waiver in any other Federal or State proceeding.” Fed. R. Evid. 502(d). Unlike subsection (b), subsection (d) “does not require any proof of inadvertence or that reasonable steps were taken to prevent disclosure.” Edwin M. Buffmire, *The (Unappreciated) Multidimensional Benefits of Rule*

⁴ COSCO’s July 10 Response, Dkt. 136 at 2.

502(d), 79 Tenn. L. Rev. 141, 156 (2011). Congress enacted FRE 502(d) to “reduce litigation costs” and provide predictability, permitting parties to structure a privilege review procedure with confidence that a record-by-record review of millions of documents would not be necessary and disclosure of privilege “would not result in waiver,” in the ongoing proceeding or even in any other proceeding. *See* 154 Cong. Rec. S1317 (daily ed. Feb. 27, 2008) (statement of Sen. Leahy); Fed. R. Evid. 502 advisory committee’s note; *Buffmire*, 79 Tenn. L. Rev. at 146, 151, 157, 168.

Operating under this protection, SEA applied Technology Assisted Review (“TAR”) to more than five million documents and produced 383,794 documents comprising more than two million pages—a massive, good-faith production that dwarfs COSCO’s own efforts. The privileged documents that were inadvertently produced were not obviously privileged communications with an attorney on the face of the document. They involve more nuanced issues—work product created in anticipation of litigation at attorneys’ direction—that evade even the most exhaustive review. As noted by one court, inadvertent release of privileged documents in high-volume document productions are inevitable. *See GMO Gamecenter USA, Inc. v. Whinstone US, Corp.*, No. 22-CV-5974 (JPC) (KHP), 2025 WL 2267751, at *2 (S.D.N.Y. Aug. 8, 2025) (internal citation omitted). It is a tradeoff when SEA presses to meet FMC discovery deadlines and takes its production obligations seriously. Its fulsome production of documents should be commended (especially when juxtaposed with COSCO’s production actions) and not weaponized by COSCO in refusing to return privileged documents.

SEA has requested to clawback a small number of privileged documents, especially viewed in relation to the total number of documents produced, on a rolling basis. Precisely as the Protective Order and FRE 502(d) contemplate. COSCO has refused SEA’s clawback efforts mainly on the basis of waiver. COSCO’s position is problematic, not only because it is foreclosed by the

rule's plain text, but also because it creates precisely the problem FRE 502(d) was enacted to resolve. COSCO's repeated challenges to SEA's clawback efforts have forced SEA to incur exactly the costs the rule was designed to eliminate and have consumed precious judicial resources on an issue the parties already resolved by a negotiated agreement – the Protective Order.

If endorsed, COSCO's approach would disincentivize fulsome productions in major cases. FRE 502(d) exists to ensure that a producing party "can afford to be less conservative in protecting a document's secrecy since it has less to lose from disclosure." *Buffmire*, 79 Tenn. L. Rev. at 170. If parties cannot rely on 502(d) orders to mean what they say, the rule's promise of cost reduction and certainty is illusory. The Protective Order should be enforced according to its plain terms, COSCO's improper importation of FRE 502(b) into this proceeding should be rejected, SEA's clawback of inadvertently produced privileged documents should be confirmed, and the inadvertently produced privileged documents should remain privileged.

III. SEA's Response on the Need for Discovery from its Pending Motions to Compel

SEA's motions to compel concern categories of discovery that remain necessary for the parties to complete fact discovery and prepare for depositions. COSCO's Response does not address the full scope of the deficiencies identified by SEA.

A. SEA's First Motion to Compel and Supplemental Motion to Compel

COSCO's Response states that it has sought to address the issues raised in SEA's First Motion to Compel and SEA's Supplemental Motion to Compel through the production of documents from three additional China-based custodians and further represents that it will produce documents from two additional China-based custodians. COSCO does not, however, explain how the proposed production would remedy the specific deficiencies identified in SEA's First Motion to Compel and Supplemental Motion to Compel because it cannot. SEA Motion to Compel, Dkt

95 and Samsung Electronics America, Inc.’s Supplemental Motion to Compel Production from COSCO Shipping Lines Co., Ltd., Dkt, 123.⁵

SEA respectfully disagrees that COSCO’s voluntary production from three China-based custodians, or its stated intention to produce documents from two additional China-based custodians, resolves the issues raised in SEA’s First Motion to Compel or Supplemental Motion to Compel. To avoid unnecessary duplication, SEA does not repeat here the positions already presented regarding why COSCO’s offer to voluntarily produce documents from two additional China-based custodians is insufficient to resolve SEA’s motions to compel. SEA respectfully refers the Presiding Officer to SEA Response, Dkt. 137, which addresses COSCO’s prior statements concerning its voluntary production from China-based custodians, explains SEA’s position as to why that offer does not provide a basis to deny the relief sought in SEA’s First Motion to Compel and Supplemental Motion to Compel, and identifies the deficiencies that remain in COSCO’s China-based production. As explained therein, SEA continues to require the outstanding categories of discovery identified in its motions to compel to complete document discovery and depositions.

B. SEA’s Second Motion to Compel

SEA respectfully refers the Presiding Officer to SEA Response, Dkt. 137 at 6–9, where SEA explains that COSCO’s production remains deficient, identifies the outstanding categories of documents that have not been produced, and explains why those materials are necessary for the completion of fact discovery and preparation for depositions. SEA maintains that the identified deficiencies remain unresolved and that the requested documents are necessary before depositions.

⁵ Nor does COSCO provide any timeline for its proposed production, which it should have done long ago in any case. This is merely the latest example of COSCO’s ongoing failure to timely produce responsive documents.

IV. COSCO's Brand New Custodian Demand

COSCO's request for three additional custodians, Soon Jong Hong, Changhu Yu, and J.K. Bok, is outside the scope of its motion to compel and provides no basis for relief. COSCO never sought relief as to these custodians in its motion and first raised the issue on July 9, 2026, the day before the parties' submissions were due. Nor does COSCO identify any deficiency in SEA's production, explain what unique information these custodians possess, or demonstrate why additional custodial discovery is necessary or proportional. Having failed to timely raise or substantiate this request, COSCO has not established any basis for the relief it seeks.

V. Conclusion

SEA respectfully requests that the Presiding Officer grant SEA's motions to compel, deny COSCO's motion to compel in its entirety, reject the additional issues and requests first raised in COSCO's July 10, 2026 response, and order COSCO to return, sequester, or destroy the materials identified by SEA for clawback and prohibit any further use or disclosure of those materials.

Respectfully Submitted,

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CERTIFICATE OF SERVICE

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